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Building Your Net Worth

My friend Nancy is 42 years old and divorced. Her life revolves around her job, a string of men friends, and two teenage daughters. Nancy is bright, perky, energetic, sexy, charming, and quick to laugh.

Nancy is vice president of marketing at a small San Francisco leasing company. She makes \$75,000 a year, which is double what she made three years ago, and half of what she's likely to make three years from now. She's on a fast track, and with a little luck she'll climb her career ladder for several more years.

Nancy has other income besides her salary. She gets child support from her ex-husband. Her parents pay for private schools for her two children. But whether Nancy's income is \$35,000 or \$135,000 makes little difference to her net worth. She spends everything she has no matter what she has. Eight years ago, when she got divorced and started her career, she had zero net worth. Except for a new car, she has zero net worth now. And unless she changes her ways, she'll have zero net worth in five, ten, or twenty years.

Nancy gets raises every six months or so, but the raises never help. She spends her year-end bonus and tax refunds